

PopVault Insurance: Business Plan

Digital-First Specialty Insurance for Trading Cards

Executive Summary

PopVault Insurance will offer a simple, app/web-based quote-and-bind insurance platform for retail collectors of trading cards (including but not limited to: Pokémon, One Piece, Magic: The Gathering and Sports cards).

Focusing on speed and ease of use, customers will receive instant quotes through the platform and be able to bind coverage in minutes. Either through a simple quote request form for basic blanket coverage, or by importing full collection data and valuations directly from apps including and similar to **Collectr**.

Policies will provide market-value coverage with specialist enhancements that are unavailable or unsuitable in standard homeowners insurance policies (e.g., accidental damage, transit coverage including conventions, no sub-limits on individual items).

As a key differentiator, premiums will be adjustable quarterly to reflect the highly volatile trading-card market and frequent buying/selling occurring in the space.

The company will operate as an MGA, partnering with an established carrier for underwriting and capacity while handling marketing, policy issuance, app delivery, and customer experience.

Market opportunity: Global trading-card market is booming and more collectors are using apps to track collection value in real time, bringing risk of loss to the front of mind as valuations rise. The dedicated insurance segment already exceeds \$1 billion annually, with strong demand for modern digital solutions and specialist cover. Millions of U.S. and international retail collectors are without any real coverage or solution.

Revenue model: Commission-based MGA fees (typically 20–30% of premium) plus potential tech/platform fees. Low acquisition cost via digital channels.

Goal: Achieve 25,000 policies in Year 3 with scalable, low-overhead operations. Projections further below focus on trading cards only; however the platform architecture is built for straightforward expansion into adjacent collectibles markets (e.g., comics or memorabilia) over time to enhance addressable market.

1. Company Description

PopVault will operate as a technology-enabled MGA headquartered in London. The core offering is a consumer-facing mobile app and web platform that makes specialty insurance as easy as ordering on Amazon.

- **MGA Structure:** PopVault manages product design, marketing, customer acquisition, quoting/binding, policy administration, and basic servicing. A partner A-rated carrier partner provides quoting matrix, risk capacity, claims handling, and regulatory compliance. Pricing algorithms and rates will be pre-agreed and filed, enabling instant quotes.
- **London / Lloyd's Focus:** As a London-based operation, PopVault will target partnerships with London or Lloyd's market capacity providers, experienced in specialty personal-lines and high-value movable property. Viable options include larger carrier markets or syndicates in the Lloyd's fine art and specie market (which already covers trading cards, Pokémon collections, sports cards, and similar pop-culture items). These partners bring proven expertise in collectibles-style risks and access to global capacity, as well as competitive rating.
- **Legal/Regulatory:** Form as UK-limited company; obtain necessary FCA authorisations or operate as appointed representative; leverage carrier's admitted or surplus lines authority where required.

2. Market Analysis

Industry Trends

- Trading cards (TCG and sports cards) represent one of the fastest-growing segments of the collectibles market, driven by younger retail collectors. Valuations fluctuate dramatically (+/-20–100% swings are common) and many collectors buy/sell frequently on marketplaces, conventions, or online platforms and store in their homes.
- Traditional homeowners insurance severely under protects: low sub-limits, no accidental damage coverage, and no easy way to update values in real time. Many home owner wordings are also not specifically designed to address collectibles, so coverage may be unclear.
- Existing competitors offer broad collectibles policies but rely on manual applications, appraisals, and annual renewals with clunky interfaces and more formal/institutional marketing — creating friction for digital-native collectors. No major player offers instant digital binding or seamless Collectr-style integration focused purely on trading cards or allowing for dynamic mid-term coverage updates if valuations change drastically.

Target Customer

- Retail collectors with \$5k–\$500k+ in trading cards (average policy sized for \$10k–\$25k collections).
- Tech-savvy, 18–45 years old, active on social media, Reddit, Discord, and collector apps.
- Customer pain points: Underinsurance risk due to volatility, complexity of current options, time required to insure and lack of education in the space.

Opportunity Size: Even modest market share in the U.S. and UK trading-card collector base represents significant scale in a passionate, underserved niche.

4. Product & Service Offering

Core Features

- **Instant Quote & Bind:** Options to upload or import collection data via Collectr API/ integration → AI-assisted help bot and valuation built in → pre-rated premium displayed in <60 seconds → bind instantly with digital policy issued to email and stored in their account in app.
- **Focused Coverage:** All-risk, market-value protection tailored exclusively to raw, graded, and sealed trading cards. Enhancements include:
 - Accidental damage/breakage (not covered by homeowners policies) and Mysterious disappearance/theft coverage.
 - Worldwide transit coverage (conventions, shipping, sales, auction houses etc).
 - No single item sub-limits for most policies (likely require the customer to declare any individual cards worth over \$25k for rating purposes).
 - Natural catastrophe, Flood and Wildfire coverage.
- **Flexible Valuation & Dynamic Premiums:** Real time “value update” window — customers have the option adjust insured amounts up/down easily; premium recalculated and billed monthly via instalments. Prevents chronic underinsurance in a volatile market. App can use third party sourced market pricing data to nudge clients when it looks like their collection value has changed significantly, to add value to the customer, increase number of touch points and encourage increased premium spend.
- **Additional Perks:** Free basic collection lists and tracking tools, claims app with photo upload, optional scheduled items \$25k and over, AI chat integration for customer service and questions on the cover and policy wording.

- **Pricing:** Competitive — e.g., ~\$100–\$150 annual premium for typical policy.

Technology Stack (high-level)

- Modern web/app built with React Native/Next.js.
- Secure API integration with Collectr and future collector platforms for real time valuation information.
- Backend rating engine (pre-loaded tables/rating matrix from carrier).
- Stripe/Plaid for payments, DocuSign-style e-signatures and documents stored in the app

5. Marketing Strategy

- **Digital-First Acquisition:** SEO/content around “insure my Pokémon cards,” “trading card insurance,” partnerships with Collectr, PSA/CGC grading services, influencers, Reddit (r/PokeInvesting, r/mtgfinance), TikTok, and collector communities.
- **Partnerships:** Affiliate revenue share with third party apps and major grading companies. Referral codes for influencers.
- **Customer Retention:** Quarterly value updates create habit; loyalty discounts; seamless renewal.

6. Operations Plan

- **Team:** Small team (Developers, insurance operations lead, marketing, industry specialists). Outsource claims handling to carrier; scale customer service via chat + AI to keep headcount small.
- **Key Partnerships:** Carrier/MGA partner in the London/Lloyd’s ecosystem, Collectr/PSA (in app links to PopVault), and insurtech vendors/consultants for set up and policy admin.
- **Focus:** Lean, digital-first operations with minimal physical overhead as a London-based entity.

7. Financial Projections (High-Level, Conservative)

Assumptions: Average premium \$125/year; 25% MGA commission; CAC ~\$40–60 via digital; 30–40% contribution margin after tech/ops. Projections are for trading cards only, with the platform designed for low-cost rollout to other collectibles markets over time.

- **Year 1:** 4,000 policies → ~\$500k premium → ~\$125k revenue.
- **Year 2:** 12,500 policies → ~\$1.56M premium → ~\$390k revenue.
- **Year 3:** 25,000 policies → ~\$3.125M premium → ~\$780k+ revenue.
- **Break-even:** Within 9–12 months with modest seed capital of approximately \$100k covering initial tech build, licensing, and marketing.

- **Exponential Scalability:** Near-zero marginal cost per additional policy once platform is live.

8. Risks Mitigation

- **Carrier Dependency:** Multiple London/Lloyd's partner discussions in parallel; build strong data/volume to renegotiate favorably annually.
- **Regulatory/Rate Changes:** Work with experienced UK insurance counsel; leverage carrier expertise.
- **Volatility & Adverse Selection:** Strict underwriting rules in rating engine; quarterly adjustments mitigate underinsurance.
- **Competition:** Speed of digital experience, social media and collector community focused marketing with niche focus creates defensible moat.

Next Steps:

1. Analyse full competitor landscape and current market size
2. Confirm coverage gaps in competing policy wordings and identify what coverages are unavailable or limited for collectors in the current market
3. Create a dummy app for use in presentations and pitch meetings
4. Full analysis of potential insurance carrier partners, what is required to set up and operate as an MGA, funding required etc